spending on roads, railways, ports, airports, electric grids, and broadband; regulatory and customs changes; and bilateral and multilateral trade, investment, training and supply chain agreements with foreign partner countries. Although an Indian industrial policy could potentially apply to several sectors, critical and emerging technologies have been given priority due to their strategic importance, growth potential, and economic security vulnerabilities. Taken together, these new and strategic technologies have the potential to transform virtually every aspect of the Indian economy.

The priorities identified by India include computational hardware, physical and digital infrastructures, clean and green energy, transportation, health and biotechnologies, and defence and aerospace. Particular effort has gone into attracting foreign manufacturing exemplars in these areas, with the calculation that their successes in India could create a replicating effect. To this end, India's central and state governments have provided hundreds of crores in subsidies, both PLIs and upfront funding for semiconductors, green hydrogen, and artificial intelligence. In addition, the government has attempted to provide new or improved regulatory guidelines for defence, AI, space, drones, and geospatial policies and created dedicated nodal agencies in government for semiconductors, quantum technologies, and green hydrogen. Efforts are also underway to improve the R&D ecosystem through research funds and incentives for private sector R&D. Furthermore, India has attempted to coordinate with partners on standards, investment, technology transfers, and supply chains, including through such mechanisms and the initiative for Critical and Emerging Technologies (iCET) with the United States, the Trade and Technology Council (TTC) with the European Union, the Global Partnership on AI, the Minerals Security Partnerships, and the Indo–Pacific Economic Framework (IPEF). [14]

India's trade policy has also shifted considerably. After entering into a series of trade agreements with Japan, South Korea, and the Association of Southeast Asian Nations (ASEAN) in the early 2010s, India's trade negotiations slowed. This was in part due to a belief that India had not benefited sufficiently from these agreements; indeed, its exports to these countries and regions did not meaningfully appreciate in the years that